Singapore Banks - UOB Kay Hian 2025-09-10: Headwinds From Singapore Being A Safe Haven

Why Singapore's Safe-Haven Reputation Is A Double-Edged Sword For Local Banks

- Downgrade Singapore banks to MARKET WEIGHT. The influx of safe haven liquidity could be structural and persistent, thus continuing to exert dow pressure on banks' NIM. BUY OCBC (https://sginvestors.io/sgx/stock/ bank/stock-info). HOLD DBS (https://sginvestors.io/sgx/stock/d05-db
- Unlike the heydays of NIM expansion in 2023, banks are expected to succumb to

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compression in 2025 and 1H26. NIMs are under pressure due to lower benchmark interest rates, such as SORA and HIBOR, although the pace of decline is expected to be slower in 2H25 and 1H26.

> **Singapore Has Become A Magnet For Liquidity Seeking Shelter.**

- Singapore's reputation as a safe haven has attracted defensive capital flows, especially considering geopolitical uncertainties globally and major policy shifts in the US. Singapore's disciplined and prudent fiscal policy stands in stark contrast to the US' profligate, unsustainable and persistent fiscal deficits. Our stature as a financial and advanced manufacturing hub is further enhanced by having a low reciprocal tariff of 10%.

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Negative Impacts Of Influx Liquidity.

- The influx of liquidity into Singapore in 2025 has two negative impacts on the banking sector:

Low interest rates exerting downward pressure on NIM.

- Domestic interest rates are depressed by the huge influx of liquidity seeking to avoid instability elsewhere. Recently, overnight SORA dropped to a low of 0.73% during social unrest and the series of demonstrations in Indonesia in late- August. Three-month compounded SORA fell by a massive 147bp to 1.60% in 8M25.
- The stubbornly low domestic interest rates, which look to be structural in nature, are expected to exert downward pressure, thus keeping the NIMs for Singapore banks depressed.

Overseas growth moderated by strong S$.

- The Singapore dollar (S$) strengthened 6.4% against the US dollar in 8M25 despite Monetary Authority of Singapore (MAS) intervening twice in January and April to ease monetary policy, thus aiming to slow the pace of the S$'s appreciation and protect Singapore's export competitiveness.
- Regionally, the S$ appreciated 8.8% against the Indonesian rupiah (IDR) and 3.5% against the Chinese yuan (CNY) in 8M25. The strong S$ would moderate income

contribution and loan growth from overseas markets.

Offsetting Headwinds From NIM Compression And Strong S$.

- The negatives from NIM compression and strong S$ are partially mitigated by:

Growth from wealth management.

- High net worth individuals from around the region would direct more funds to be managed and invested in Singapore. DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) and OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info) attracted net new money inflow of S$9b and S$4b respectively in 2Q25.
- DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info)' AUM expanded 12% y-o-y to an all-time high of S$442b in 2Q25. OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info)'s AUM correspondingly rose 11% y-o-y to S$310b. Singapore banks would be able to generate more growth from wealth management fees.

Lower COE provides uplift to target prices.

- The influx of liquidity seeking shelter caused the 10-year Singapore government bond yield to drop by a hefty 103bp to 1.83% in 8M25. Thus, we have lowered our risk-free rate assumption from 2.5% to 2.2%.
- The cost of equity (COE) we utilised to value Singapore banks has correspondingly been lowered from 8.5% to 8.2%.

Fed Switches Emphasis To Supporting Economic Growth.

- In Aug 25, the US added only a paltry 22,000 jobs, falling short of the already modest expectation of 75,000. This is the fourth consecutive month of weakness. Previous months' numbers were revised down to a loss of 13,000 jobs in Jun 25, the first decline since Dec 20. The unemployment rate rose 0.1ppt m-o-m to 4.3%. Uncertainties emanating from reciprocal tariffs have led to a slowdown in hiring.
- The recent Jackson Hole Symposium highlights US monetary policy at an inflexion point and is likely to switch towards easing to support the job market. We expect the Fed to cut the Fed Funds Rate four times totalling 100bp in September, October, December and January, bringing it to 3.25%.

Banks Provide Attractive Dividend Yields Supported By Capital Management.

- The banking sector provides attractive value with a low P/B of 1.52x and a high dividend yield of 5.9% for 2025. **Our top pick is OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info) for its focus on trade and investment flows within ASEAN** and a defensively low 2025F P/B of 1.26x, followed by DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) for its 2025 yield of 6.0%.

DBS (SGX:D05) (Https://Sginvestors.Io/Sgx/Stock/D05-Dbs/Stock-Info):

- **Maintains guidance for 2025.** DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info)' management guided 2025 net interest income to be slightly above 2024 levels. The negative impact from NIM compression (management expects two rate cuts in 2H25) would be offset by positive impact from loan growth. Management expects a mid-to-high single-digit growth in non-interest income. Fee income will be driven by double-digit growth from wealth management. CIR is expected to be in low- 40%.

Guidance for specific provisions is unchanged at 17-20bp. Pre-tax profit should be flat at around 2024 levels. Net profit is expected to be lower than 2024 levels due to the global minimum tax rate of 15% (negative impact of S$400m).

- **Tenure of balance sheet hedges at three years.** DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info)' exit NIM was 1.98% in June and 1.95% in July. Full-year NIM is expected to be lower than the 2.05% registered in 2Q25. For the S$ book, it has net floating rate assets of S$90b. For the US$ book, it has net floating liabilities of S$40b. Thus, DBS benefits from lower US$ interest rates. DBS has moderated the fall in NIM through balance sheet hedging and growth in deposits.
- **One more hike in quarterly dividend.** Management has stress tested the impact on balance sheet for 2025-26 of stepping up quarterly dividend by another 6 cents to 66 cents. DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) is comfortable with the CET-1 CAR dipping below 14% as it is still within its usual preferred operating range of 12.5-13.5%.
- **Maintain HOLD.** We cut our earnings forecast for DBS by 1.4% for 2026 due to an NIM compression of 9bp to 1.95%. Our DBS's target price (https://sginvestors.io/sgx/stock/d05-dbs/target-price) of S$54.40 is based on 2.21x 2026F P/B, derived from the Gordon Growth Model (ROE: 15.7%, COE: 8.2%, growth: 2.0%).

> **OCBC (SGX:O39) (Https://Sginvestors.Io/Sgx/Stock/O39-Ocbc-Bank/Stock-Info):**

- **Overall guidance largely unchanged.** OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info)'s management guided a mid-single-digit loan growth for 2025. Cost-to-income ratio is expected to come in at low 40%. Credit costs should range between 20bp and 25 bp. Dividend payout ratio is set at 60% on a full-year basis (regular dividend: 50% and special dividend: 10%).
- **Guidance for NIM revised lower.** Management guided NIM at 1.90-1.95% for 2025 (previous: stable at 2.00%), which is higher than the exit NIM of 1.88% in June. The guidance factors in three rate cuts in 2H25. Positive impact from cuts in interest rates for deposits instituted since May will start to flow through in 3Q25. Net interest income is expected to decline by a mid-single-digit percentage as NIM compression is partially offset by volume growth for loans.
- **Upcoming CEO Tan Teck Long** is honoured to be leading OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info), which he sees as a storied bank with impressive legacies. His job experience covers both front-line business development (two-thirds) and risk management (one-third). He sees room

to reap synergies through OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info)'s One Group strategy. On an organic basis, he looks to strengthen OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info)'s position to serve corporate and retail customers. He will also explore inorganic expansion if the deal fits OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info)'s strategy and is priced at a reasonable cost. He takes over as CEO on 1 Jan 26.

- **Maintain BUY.** We cut our earnings forecast for OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info) by 2.2% for 2026 due to an NIM compression of 11bp to 1.85%. Our OCBC's target price (https://sginvestors.io/sgx/stock/o39-ocbc-bank/target-price) of S$20.40 is based on 1.46x 2026F P/B, derived from the Gordon Growth Model (ROE: 12.0%, COE: 8.2%, growth: 0.0%).

Sector Catalysts:

- The US closing more trade deals with major trading partners. Singapore's manufacturing sector benefitting from low reciprocal tariffs.

Sector Risks:

- Slowdown in trade regionally and globally, leading to a decline in loan growth. Escalation of geopolitical tensions through the Russia-Ukraine war and cross-straits conflict between Mainland China and Taiwan.

Above is an excerpt from a report by UOB Kay Hian Research.
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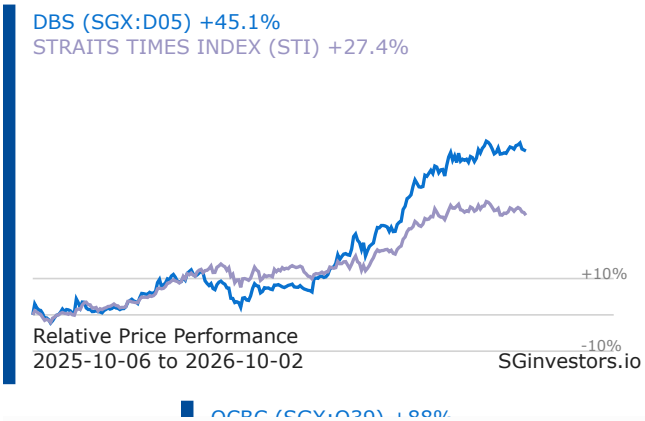
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